Surya Roshni Ltd

Concall Tracker · Q2 2027 · first report, built without the Q2 FY27 transcript

1. Snapshot

Two businesses under one roof. The bigger one makes steel pipes (GI, black, hollow-section, API and spiral pipes) and cold-rolled strips under the 'Prakash Surya' brand, sold through dealers in India and exported to more than fifty countries. The smaller one sells LED lighting, fans, water heaters, mixer grinders and other appliances, plus a new wires and cables line, under the Surya brand.

Number	Value	What it means
Market cap	Rs 4,612 cr	What the market values the whole company at (Screener, Nov 2026).
Revenue, FY26	Rs 7,540 cr	Roughly flat for four years, between about Rs 7,400 and 8,000 cr.
Net profit, FY26	Rs 286 cr	Down from Rs 348 cr in FY25.
Q2 FY27 revenue (consolidated)	Rs 2,448 cr	Up 33% on a year ago, led by steel pipe volume and higher prices.
Q2 FY27 EBITDA	Rs 143 cr	Up only 1%: the margin fell to 5.8% from 7.6% a year ago.
Q2 FY27 net profit	Rs 77 cr	Up 3% on a year ago; H1 FY27 profit Rs 136 cr, up 26%.
Steel pipe volume, Q2 FY27	2.67 lakh tonnes	A record quarter, up 23% on a year ago.
Steel EBITDA per tonne, Q2 FY27	Rs 4,105	Down from Rs 5,013 a year ago and below the Rs 4,400 to 4,500 guided in August.
Net cash, 30 Sep 2026	Rs 75 cr	No net debt, though down from about Rs 155 cr in June as working capital rose.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY25	May 2025	Yes (skimmed for guidance)
Q2 FY26	11 Nov 2025	Yes (skimmed for guidance)
Q3 FY26	11 Feb 2026	Yes (skimmed for guidance)
Q4 FY26	May 2026	Yes (skimmed for guidance)
Q1 FY27	11 Aug 2026	Yes, read in full
Q2 FY27	7 Nov 2026 (call held)	No: transcript not filed yet

Five transcripts across about a year and a half. The Q2 FY27 call was held on 7 Nov 2026 and its audio was filed, but the written transcript was not on Screener or BSE when this report was built (checked 11 Nov 2026). The Q2 FY27 section uses the investor presentation and results filed on 7 Nov 2026 instead, read against what management promised in May and August 2026.

Latest update highlights: Q2 FY27 (investor presentation and results, 7 Nov 2026; no transcript yet)

- Steel pipes sold a record 2.67 lakh tonnes, beating the 2.60 lakh tonnes guided in August. Exports rose 64% to about 64,400 tonnes, about a quarter of segment volume, and US volumes more than doubled on the previous quarter.
- Steel order book of about Rs 1,200 cr for execution in H2 FY27, including about 1 lakh tonnes of export orders worth about Rs 850 cr (about 80,000 tonnes of API pipes) and about 20,000 tonnes of domestic API orders.
- Profit barely grew: EBITDA Rs 143 cr against the Rs 150 to 160 cr management guided in August, and steel EBITDA per tonne Rs 4,105 against the guided Rs 4,400 to 4,500. The company blames a high base (one-time pre-buying by European and Canadian customers last year), input costs, EPR payments and more brand spending.

- Lighting and consumer durables had their best-ever Q2 at Rs 507 cr, up 17%, with ceiling fans and water heaters up 26% in volume. Wires and cables reached about Rs 50 cr in the quarter. Professional lighting has an order book above Rs 200 cr.
- Steel capacity utilisation rose to 84% from 82%. Value-added products were about 48% of steel volume.

Business mix & capacity

Domestic vs export: Steel pipe exports were about 24% of segment volume in Q2 FY27 (up from about 17% in FY26); management aims for about 25% over time. Lighting is almost entirely domestic.

Capacity use: Steel pipe capacity is about 14.2 lakh tonnes a year, running at 84% in Q2 FY27, so headroom is limited. Three new DFT mills in Gujarat, Malanpur and Bahadurgarh are being commissioned between August and December 2026 to reach about 16 lakh tonnes in FY27, with a Hindupur expansion (first mill January 2027) and about 2 million tonnes by FY28-29 (Aug 2026).

3. Earning Trigger thesis

The driver is steel pipe volume, especially exports of API pipes to the US and more value-added pipes from new DFT mills. It is showing up: record volume, exports up sharply and a large export order book for the second half. Lighting is growing steadily on fans, water heaters and wires. The problem is profit per tonne. Management has set high per-tonne and volume targets for two years and cut them almost every quarter, so the volume is real but the earnings it promises keep arriving smaller than guided.

Trigger	What management said	Evidence so far	Time horizon	Strength
Exports and API pipes to the US	Exports to about 3 lakh tonnes in FY27; US 1.2 to 1.25 lakh tonnes (Aug 2026)	Q2 exports 64,400 tonnes, up 64%; about Rs 850 cr export orders for H2	FY27	Strong: orders in hand
New DFT mills and capacity	16 lakh tonnes in FY27, 2 million tonnes by FY28-29; 11 lakh tonnes sold in FY27 (Aug 2026)	Utilisation 84%; three mills being commissioned Aug to Dec 2026	FY27 to FY29	Moderate: on track so far
Higher profit per tonne	Rs 4,600 to 4,700 a tonne for FY27 (Aug 2026), down from Rs 5,500 to 6,000 (May 2026)	Q1 Rs 4,006, Q2 Rs 4,105	FY27	Weak: guidance cut again and still being missed
Lighting, appliances and wires	Lighting about Rs 2,200 cr and Rs 200 cr EBITDA in FY27; wires about Rs 250 cr (Aug 2026)	H1 lighting Rs 964 cr (up 16%), EBITDA Rs 76 cr; wires Rs 88 cr in H1	FY27 to FY29	Moderate: growing, but behind the run rate needed

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already net-cash; net cash fell to Rs 75 cr in Sep 2026.
New business	Yes	US market opened for ERW API pipes (Aug 2026); wires and cables business, about Rs 88 cr in H1 FY27 (Nov 2026 presentation).
Margin up	No	Steel EBITDA per tonne fell to Rs 4,105 from Rs 5,013 a year ago (Nov 2026 presentation).
New management	No	No change mentioned.
New capacity	Yes	Three DFT mills being commissioned Aug to Dec 2026; Hindupur first mill January 2027 (Aug 2026).
Big orders	Yes	Steel order book about Rs 1,200 cr for H2 FY27, including about 1 lakh tonnes of export orders (Nov 2026 presentation).
Turnaround	No	Not a turnaround.
Promoter buying	No	Not mentioned. A buyback and a demerger of the two businesses have been discussed for several calls without a decision.

The single concrete driver: Record steel pipe volume and a large export order book, mostly API pipes for the US, with new DFT mills adding capacity through December 2026.

3c. Margin bridge

Q2 FY27 consolidated EBITDA margin was 5.8% against 7.6% a year ago, and steel EBITDA per tonne fell to Rs 4,105 from Rs 5,013. The presentation says last year's quarter had one-time pre-buying by European and Canadian customers ahead of CBAM and quotas, and this year carried higher input costs, EPR payments and planned extra brand spending. Part of the drop is the high base (one-off), but per-tonne profit has also lagged guidance for two years.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2025	FY26 steel volume 1.1 million tonnes; EBITDA per tonne Rs 5,800 to 6,000; EBITDA Rs 780 to 800 cr	Volume cut to 10.5, then 10 lakh tonnes; actual 9.04 lakh tonnes; FY26 EBITDA per tonne about Rs 4,553	Missed
Nov 2025	Q3 FY26 EBITDA per tonne Rs 5,600 to 5,700; Q3 volume 2.6 lakh tonnes	Q3 volume short of 2.6 to 2.65 lakh tonnes; an inventory loss hit margins	Missed
May 2026	FY27 EBITDA per tonne Rs 5,500 to 6,000; Q1 volume about 2.65 lakh tonnes	Q1 volume about 2.3 lakh tonnes, EBITDA per tonne Rs 4,006; full-year guide cut to Rs 4,600 to 4,700 in August	Missed
Aug 2026	Q2 volume 2.6 to 2.65 lakh tonnes	2.67 lakh tonnes	Delivered
Aug 2026	Q2 EBITDA about Rs 150 to 160 cr; steel EBITDA per tonne Rs 4,400 to 4,500	Rs 143 cr; Rs 4,105	Missed
May 2025 onward	Decide on demerger (and later a buyback)	Still under discussion in Aug 2026	Dropped (no decision)

Narrative drift: The direction is steady (more capacity, more exports, more value-added pipes, a bigger lighting business), but the numbers attached to it change nearly every quarter, almost always downward. On the February 2026 call an analyst said the company had not met its guidance 'from a long time', and the managing director agreed the targets are set high. Reasons given shift between steel prices, the Middle East, freight and tariffs. The demerger has been talked about for years with no decision.

5. Bottom line

Durable earning trigger? → YES

Volume growth is real and visible: a record quarter, exports up sharply, capacity being added, and an order book of about Rs 1,200 cr for the second half. The weakness is that profit per tonne keeps falling short, so revenue growth has not turned into matching profit growth.

Management consistent? → NO

Volume and per-tonne profit guidance has been cut or missed in almost every quarter for two years, including the Q2 FY27 EBITDA guide given just three months earlier. Q2 volume did beat guidance, but the pattern of over-promising is clear and the demerger decision keeps being deferred.

6. Checkpoints for next quarter

- Steel EBITDA per tonne reaches Rs 4,600 or more in Q3 FY27
- Export API orders of about 1 lakh tonnes ship in H2 FY27
- Three new DFT mills are running by December 2026

This is not investment advice. Do your own due diligence.